

Separate Realities and Local Economies

Mistrust in Economic Reporting

Sylvan Zheng

Motivation

- ▶ Strong economic growth doesn't always lead to strong incumbent performance (eg, Biden in 2024)

(1) *Nadeau and Lewis-Beck, 2001; Duch and Stevenson, 2008;*

Motivation

- ▶ Strong economic growth doesn't always lead to strong incumbent performance (eg, Biden in 2024)
- ▶ Standard model: News media → economic evaluations → retrospective voting (1)

(1) *Nadeau and Lewis-Beck, 2001; Duch and Stevenson, 2008;*

Motivation

- ▶ Strong economic growth doesn't always lead to strong incumbent performance (eg, Biden in 2024)
- ▶ Standard model: News media → economic evaluations → retrospective voting (1)
- ▶ For this to work, individuals need to **trust** economic news

(1) *Nadeau and Lewis-Beck, 2001; Duch and Stevenson, 2008;*

A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)

(2) *Suss et al 2024; Reeves and Gimpel 2012;*

(3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)
 - ▶ Increasing spatial economic inequality => places look more different from an “average” national picture

_____ (2) *Suss et al 2024; Reeves and Gimpel 2012;*

_____ (3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)
 - ▶ Increasing spatial economic inequality => places look more different from an “average” national picture
 - ▶ Declining local news, increasing nationalization of existing news => mismatch between local conditions and the picture in the press

(2) *Suss et al 2024; Reeves and Gimpel 2012;*

(3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)
 - ▶ Increasing spatial economic inequality => places look more different from an “average” national picture
 - ▶ Declining local news, increasing nationalization of existing news => mismatch between local conditions and the picture in the press
- ▶ What are the implications of these conditions for:

_____ (2) *Suss et al 2024; Reeves and Gimpel 2012;*

_____ (3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)
 - ▶ Increasing spatial economic inequality => places look more different from an “average” national picture
 - ▶ Declining local news, increasing nationalization of existing news => mismatch between local conditions and the picture in the press
- ▶ What are the implications of these conditions for:
 - ▶ how news influences economic perceptions?

_____ (2) *Suss et al 2024; Reeves and Gimpel 2012;*

_____ (3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

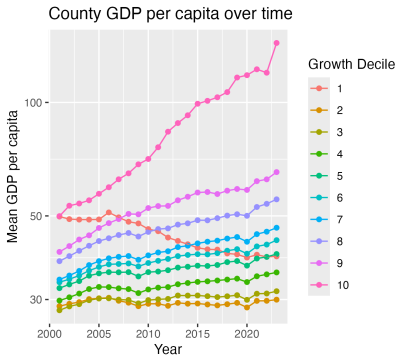
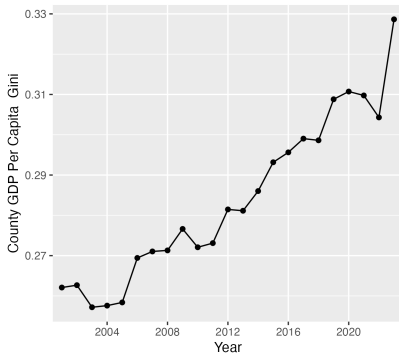
A Changing Context

- ▶ Economic realities are **increasingly local** (2) while news is **increasingly national** (3)
 - ▶ Increasing spatial economic inequality => places look more different from an “average” national picture
 - ▶ Declining local news, increasing nationalization of existing news => mismatch between local conditions and the picture in the press
- ▶ What are the implications of these conditions for:
 - ▶ how news influences economic perceptions?
 - ▶ how news is perceived and trusted?

_____ (2) *Suss et al 2024; Reeves and Gimpel 2012;*

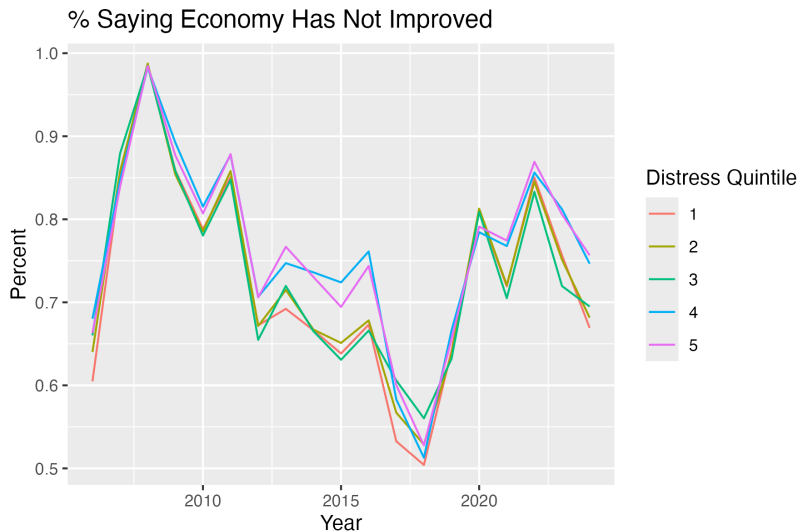
_____ (3) *Hayes and Lawless 2021; Martin and McCrain 2019;*

Increasing Spatial Economic Inequality



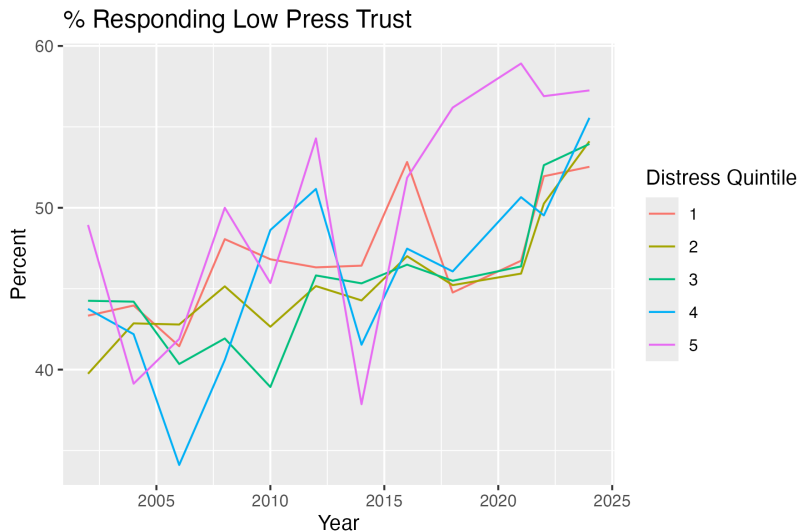
Data from the Bureau of Economic Analysis

Spatial Inequality and Economic Perceptions



Data from the Distressed Communities Index and the CES

Spatial Inequality and Trust



Data from the Distressed Communities Index and the CES

Theory/Hypotheses

More places with a very different economy from the one in the news

- ▶ Divergent economic evaluations

Theory/Hypotheses

More places with a very different economy from the one in the news

- ▶ Divergent economic evaluations
- ▶ Mismatch between local conditions and nationally oriented press coverage

Theory/Hypotheses

More places with a very different economy from the one in the news

- ▶ Divergent economic evaluations
- ▶ Mismatch between local conditions and nationally oriented press coverage
- ▶ Perception news media is not concerned with “people like me”

Theory/Hypotheses

More places with a very different economy from the one in the news

- ▶ Divergent economic evaluations
- ▶ Mismatch between local conditions and nationally oriented press coverage
- ▶ Perception news media is not concerned with “people like me”
- ▶ Weakening trust in news media

Data

- ▶ CES data on **economic evaluations**, GSS data on **trust in press**, BEA/BLS data on **county level economic conditions**

Data

- ▶ CES data on **economic evaluations**, GSS data on **trust in press**, BEA/BLS data on **county level economic conditions**
- ▶ ~800,000 **economic news articles** from 63 US local newspapers, 2000-2024

Data

- ▶ CES data on **economic evaluations**, GSS data on **trust in press**, BEA/BLS data on **county level economic conditions**
- ▶ ~800,000 **economic news articles** from 63 US local newspapers, 2000-2024
- ▶ Labeled for **local vs. national** news using a combination of BERT and gpt-4o

Data

- ▶ CES data on **economic evaluations**, GSS data on **trust in press**, BEA/BLS data on **county level economic conditions**
- ▶ ~800,000 **economic news articles** from 63 US local newspapers, 2000-2024
- ▶ Labeled for **local vs. national** news using a combination of BERT and gpt-4o

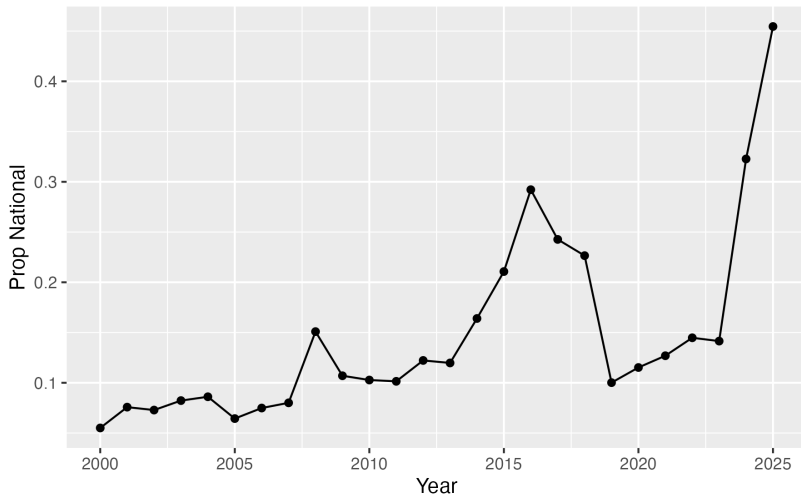
Data

- ▶ CES data on **economic evaluations**, GSS data on **trust in press**, BEA/BLS data on **county level economic conditions**
- ▶ ~800,000 **economic news articles** from 63 US local newspapers, 2000-2024
- ▶ Labeled for **local vs. national** news using a combination of BERT and gpt-4o
- ▶ Labeled for **economic sentiment** (-1 to 1) using classical sentiment analysis (4)

(4) Shapiro et al, 2021

Increasing Nationalization of News

Mean prevalence of national news among economic news articles



Design

- ▶ Panel regressions (**county and year fixed effects**) with **partisanship** and **education** controls

Design

- ▶ Panel regressions (**county and year fixed effects**) with **partisanship** and **education** controls
- ▶ Are changes in a county's (local conditions) associated with changes in residents' (economic evaluations)?

Design

- ▶ Panel regressions (**county and year fixed effects**) with **partisanship** and **education** controls
- ▶ Are changes in a county's (local conditions) associated with changes in residents' (economic evaluations)?
 - ▶ Control for across-county variation, broad national level time trends and respondent level characteristics

Design

- ▶ Panel regressions (**county and year fixed effects**) with **partisanship** and **education** controls
- ▶ Are changes in a county's (local conditions) associated with changes in residents' (economic evaluations)?
 - ▶ Control for across-county variation, broad national level time trends and respondent level characteristics
 - ▶ Local Conditions: pct. change in local GDP in last year, relative to national GDP

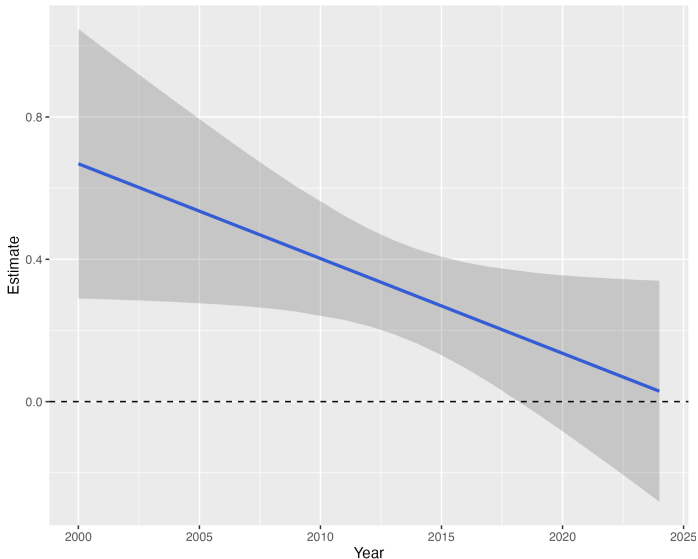
Design

- ▶ Panel regressions (**county and year fixed effects**) with **partisanship** and **education** controls
- ▶ Are changes in a county's (local conditions) associated with changes in residents' (economic evaluations)?
 - ▶ Control for across-county variation, broad national level time trends and respondent level characteristics
 - ▶ Local Conditions: pct. change in local GDP in last year, relative to national GDP
- ▶ How do these relationships vary over time / for richer or poorer counties? (**interaction effects**)

Results

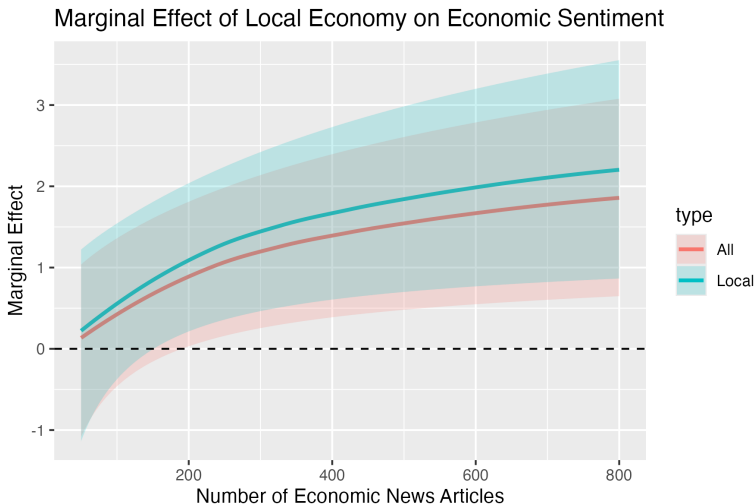
Local Conditions Affect Economic Sentiment

Marginal Effect of Local Economy on Economic Perceptions Over Time



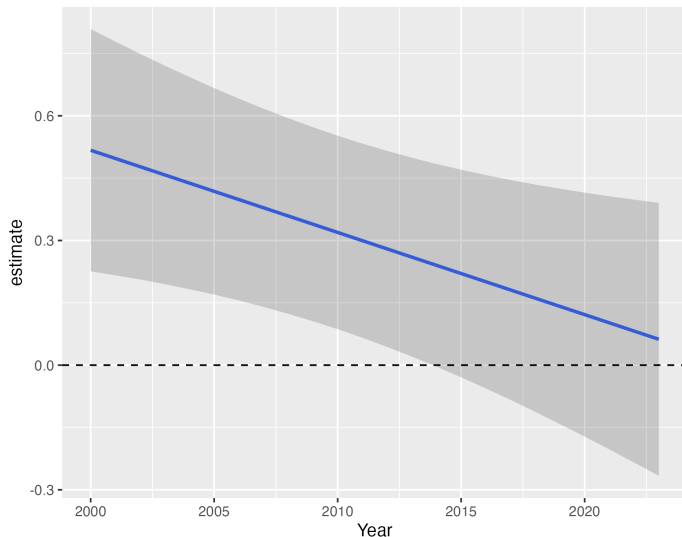
But, less so over time

Local Conditions Affect Economic Sentiment Via News Provision



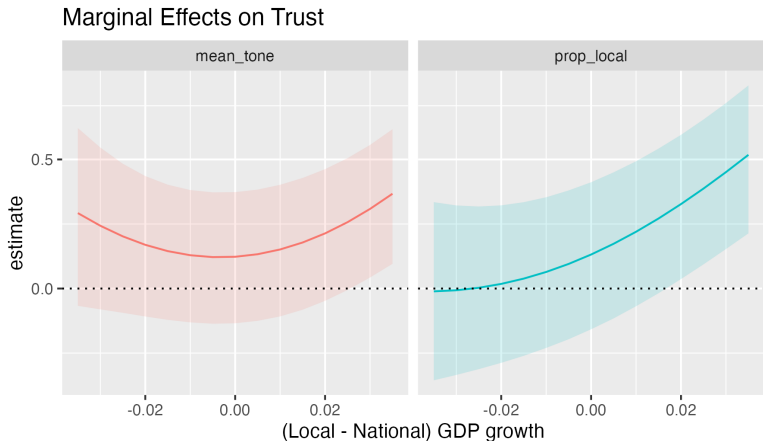
Local News Provision Increases Press Trust

Marginal effect of local news prevalence on trust over time



But, less so over time

Local News Provision Increases Trust More in Growing Counties



Effect heterogeneity modeled quadratically

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.
- ▶ Decline of specifically local coverage of economic news plays a role in declining press trust.

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.
- ▶ Decline of specifically local coverage of economic news plays a role in declining press trust.
 - ▶ Coverage quality matters, but this is declining even among the papers that are still operating in 2025

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.
- ▶ Decline of specifically local coverage of economic news plays a role in declining press trust.
 - ▶ Coverage quality matters, but this is declining even among the papers that are still operating in 2025
 - ▶ Currently exploring whether this holds true beyond the economic domain

Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.
- ▶ Decline of specifically local coverage of economic news plays a role in declining press trust.
 - ▶ Coverage quality matters, but this is declining even among the papers that are still operating in 2025
 - ▶ Currently exploring whether this holds true beyond the economic domain
- ▶ Thank you!

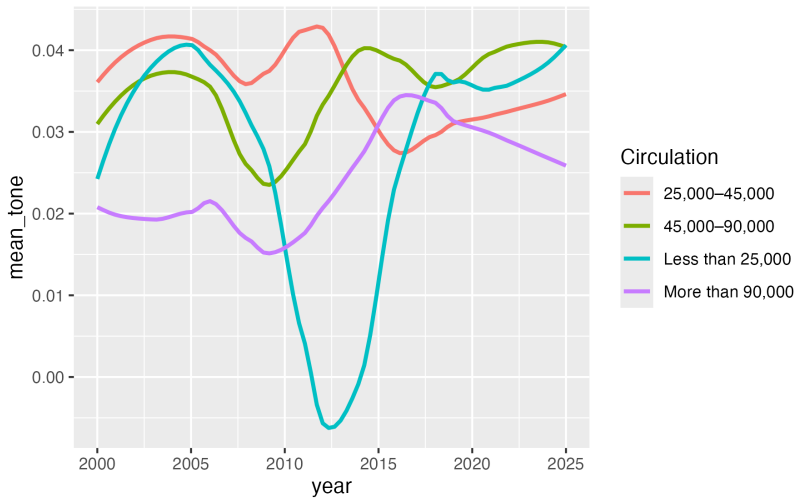
Discussion

- ▶ Variation in local conditions explains some amount of recent economic misperceptions
 - ▶ but not all of it
 - ▶ the relationship between local conditions and economic perceptions has weakened even as local conditions continue to diverge.
- ▶ Decline of specifically local coverage of economic news plays a role in declining press trust.
 - ▶ Coverage quality matters, but this is declining even among the papers that are still operating in 2025
 - ▶ Currently exploring whether this holds true beyond the economic domain
- ▶ Thank you!
 - ▶ Sylvan Zheng (saz310@nyu.edu)

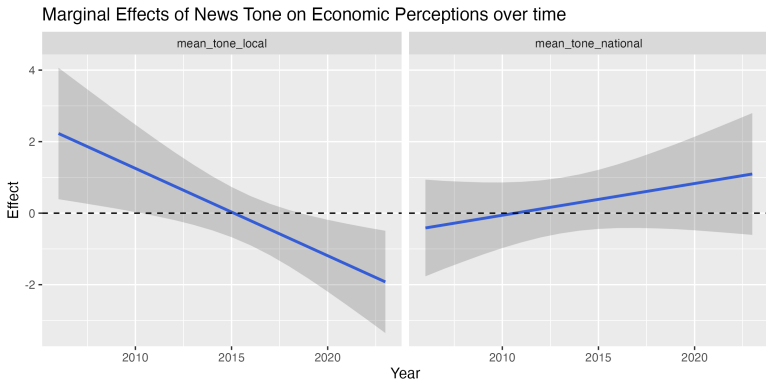
Appendix

Mean Tone over Time

Economic news sentiment over time by newspaper size

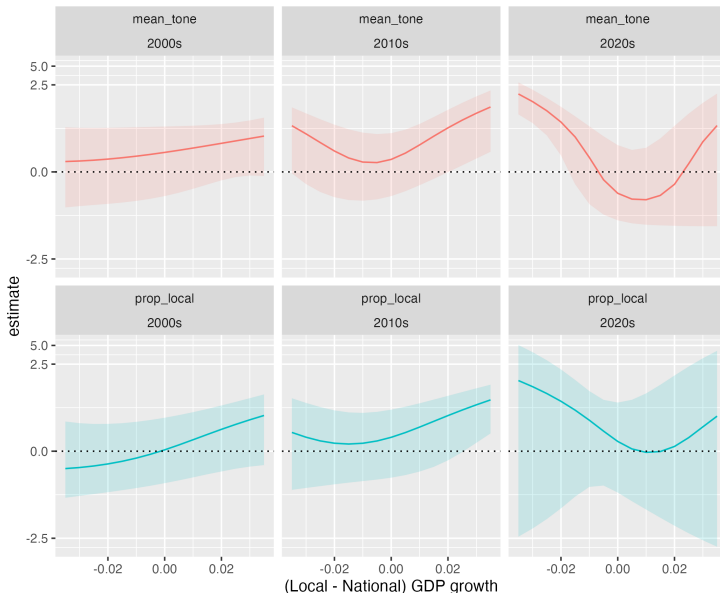


Local News Tone and Economic Sentiment



Local Conditions, News Provision, and Trust over Time

Marginal Effects on Trust By Decade



Summary

- ▶ Local economic conditions influence economic perceptions - to some extent via local news coverage
 - ▶ but not any more
- ▶ Local news provision influences trust in the press
 - ▶ but not any more
- ▶ Local news provision and tone more strongly associated with trust for counties doing better than the national average